movement has always been forward. Yesterday's announcements of additional market reforms were simply the next steps in steady, measured liberalization. Let me explain.

PARTICIPATION

Greater participation adds liquidity. Over the years, we have tried to enhance participation.

Most recently, even though retail investors form a small part of the global fixed income market, we are working to enhance their access to the institution-dominated screen-based NDS-OM market [*Author's note: A market for government bonds hosted by the RBI*] so that they can trade government securities, and also so that they can use their de-materialized accounts to do so. However, in markets that require sophisticated understanding, such as complex derivatives, we continue to be careful about broadening retail access.

We can be more relaxed about institutional participation. Foreign Portfolio Investors (FPIs) will now have direct access to a variety of markets including NDS-OM , corporate bond trading and perhaps other market segments going forward.

One reason we limited institutional participation in the past was to prevent speculation. So, for example, we required participants to be long an underlying exchange asset, say dollars, in order for them to take a short position in financial markets, and vice-versa. But sometimes the volume of importers hedging prospective imports by buying dollars forward far outweighs the volume of exporters, who hedge future receipts by selling dollars forward. To satisfy the net demand for forward dollar hedging, typically banks have taken the other side. However, to ensure bank stability, we have limited the extent of open positions that banks can hold.

There is a cost to these limits. Every time the market gets imbalanced, exchange rates have to move substantially to equalize